WESTERN DIGITAL CORP WDC

July 16, 2026 - 3:25pm EST
by TripleQuaker

			2026	2027
Price:	457.00	EPS	16.18	31.84
Shares Out. (in M):	384	P/E	28.2	14.4
Market Cap (in $M):	175,000	P/FCF	30.4	15.4
Net Debt (in $M):	-4,964	EBIT	7	13
TEV (in $M):	170,000	TEV/EBIT	23.3	12.4

Description

Summary:

My mentor's favorite adage is that the best opportunities are often stocks up significantly or down significantly as most investors will ignore them. Western Digital, a manufacturer of hard disk drives, is somehow a perfect example of both. We believe the market is grossly underestimating the earnings power ($80+) for a business now accelerating due to Artificial Intelligence. In addition, the current multiple is negatively biased by decades of secular decline (I was also previously short the hard drives) and comparisons to the more volatile DRAM/NAND industry. In reality, this industry is now effectively a duopoly, sells 90+% to global hyperscalers with multiyear contracts, has 25+% secular volume growth driven by AI, and has high incremental margins with low capital intensity. At a conservative 17.5x multiple on $85 of earnings, we believe WDC is worth $1,500 in a few years (230% upside and 50% 3- year IRR) with minimal downside creating a highly attractive risk reward.

Investment Thesis:

- Artificial Intelligence Accelerates Demand: In the AI era, nothing is more valuable than data and hard drives are the cheapest way to store data (10x cheaper than NAND). Data storage was growing at rapid rates before AI (17% CAGR over the past 15 years) and AI will act as an accelerant as data becomes increasingly valuable (only 1.4% of data generated is stored). In addition, AI drives additional demand for storage through: petabyte scale datasets, increasing agent memory, inference log storage, and content generation that is increasingly getting more storage intensive (text → pictures → videos → immersive worlds → not yet imaginable). Physical AI (like robotics and autonomous driving) likely further accelerates data creation and storage needs (required for continuous improvement).
- High Quality Business: Contrary to history, hard drives are now a great business. WDC is essentially a duopoly with Seagate (Toshiba competes but is not investing at the leading edge and is higher priced). Barriers to entry are high driven by the complexity of manufacturing, patents and capital required to replicate. Notably, there is no existing or emerging Chinese competitor. Demand significantly exceeds supply (and supply is managed by a duopoly). Customers are contracting multiple years out with pricing increases and neither player will start manufacturing without a firm purchase order. More than 90% of revenues comes from cash rich hyperscalers; there is customer concentration (top 3 was 39%) that is mitigated by long-term contracts. From a financial perspective, the business is high margin (40+%) and low capital intensity (4%) with a net cash balance sheet.
- Attractive Economic Model: At the February analyst day, WDC laid out 3–5 year targets, which are likely conservative given the company's history of under promising, but still drive significant EPS. On the top line, revenue growth guidance is 20+% that should be beaten given guidance for 25% nearline exabyte growth with slowly increasing pricing (currently increasing high single digits). On the margin side, costs per exabyte will continue to fall (historically declining low double digits) driving significant gross margin expansion with minimal necessary increases in capex or fixed costs. We model $85 of EPS for FYE 6/30/30.
- Pricing Upside: Pricing per terabyte has increased ~10% so far to $15/terabyte (versus 200% for NAND). Spot pricing is significantly higher and Taiwan checks imply Seagate and Western Digital are targeting contract pricing of $25-$30/tb in 2027 and 2028. Pricing is generally locked in one year in advance so current contract pricing was negotiated during weaker market conditions. We assume $20/tb of pricing. However, there may be significant upside to pricing given the Taiwan commentary.
- Earnings Power Sustainable: While earnings and margins are increasing significantly, we believe this level of earnings power is sustainable given the multi-year contracts and the long-term trajectory of AI (customers giving visibility to 2032). Much of this AI demand is driven by inference and archival workloads rather than training, which should scale with AI usage more than investment cycles. Long-term HDD storage is also inherently cumulative as data is rarely deleted. In addition, this is a duopoly industry with a history of successfully managing supply (units down 80% over the past 15 years). Most importantly, the industry has not excessively increased price like the NAND/DRAM industry (see discussion below). Finally, gross margins are 50% and growing, which does not seem excessive for a duopoly industry and is quite a bit lower than other parts of the AI supply chain.

Why is WDC Undervalued:

- Recent Spinoff: Western Digital only spun off Sandisk (NAND business) in February 2025. Spinoffs often create mispricing due to forced selling, investor education, investor base transition (value and special situations), etc.
- Challenged History: The hard drive industry faced significant secular declines as the prior business was primarily PC, external storage, and high performance datacenter drives. These markets all went to zero due to the transition to NAND and cloud storage. Over the last 15 years, the industry has reduced units by 80% and pricing per exabyte by 85%. Even over the last five years, units are down 52%. we give industry management a lot of credit for

executing in this environment. In contrast, WDC is now 90+% high capacity hyperscale drives that have strong secular growth. Many investors likely carry a negative bias and will be surprised when revisiting the stock.

- Strong Stock Price Performance: A classic investor bias is to not dig in because you "missed the move". Similarly, the stock is currently in a sharp drawdown (40+% down from the high) on minimal fundamental news.
- Overearning Concerns: As explained in investment thesis section, we do not believe they are overearning and we think comparisons to NAND/DRAM are flawed (see below).

Why will Undervaluation Change:

Strong execution and earnings growth will serve as the primary catalyst. Capital allocation should also help as WDC has committed to returning 100% of FCF through buybacks and dividends. In addition, there are a few near-term catalysts that should help:

- Conservative Guidance: WDC has a history of beating guidance and Q426 guidance also appears conservative.
- Consensus Estimates Too Low: We expect beats versus consensus. See summary financials below.
- Increased AI Adoption in 2026: As emerging AI trends become more mainstream like video generation (Seedance 2.0, Veo, Muse Image), agentic AI, and just increasing inference usage, we believe conviction should grow on HDD being a key beneficiary. We expect hypersaler capex commentary during the comings earnings season to confirm continued rapid growth.
- HAMR Transition: STX has currently qualified HAMR with five hyperscalers but the process was bumpy. WDC is currently in qualification with four customers, which we expect to go smoothly, and this positive news should increase the stock price. Timing is less critical for WDC as they continue to sell competitive ePMR/UltraSMR products (currently at 40TB comparable to STX HAMR). HAMR drives will also be higher margin.

Investor Debates:

- Why Better than Seagate: To be clear, we are bullish on both. WDC has a slightly better mix of capacity hard drives. WDC has a few technological advantages that should result in a better product / higher margin: 1) VCSEL lasers developed by WDC emit light from the top (versus edge emitting). This allows 14 platters per drive versus only 10 for STX and increased power efficiency. If both get to 10TB/platter, WDC can make a 140TB drive versus 100TB for STX. VCSEL lasers are tested on wafer versus STX must be cut and bonded individually adding to manufacturing complexity. 2) HAMR is on a common architecture with ePMR with common mechanical and chassis. Easier qualification for customers and higher reliability since lasers can run at lower temperatures. 3) UltraSMR, which currently allows 20% more storage per drive, will also be additive to HAMR (overlaps writing, shingled approach). 4) Higher Bandwidth Drive Technology allows drive to use multiple heads at same time to read and write data and thus increase performance.
- Why Different from Memory: The hard drive industry is very different than the NAND industry: 1) NAND has five global players and a Chinese competitor (YMTC) aggressively ramping capacity; 2) NAND has very high upfront capex costs (40x higher per exabyte and 2+ year construction times) with very low marginal cost and manufacturing cannot be slowed down resulting in inelastic supply; 3) NAND contracts are very short-term (might be changing); 4) as of 2025, NAND is only 1/3rd cloud and enterprise with the rest being less attractive end markets like mobile, PC, automotive, etc; 5) some NAND storage is more transient (overwritten and used for hot tiers) versus HDDs are more cumulative, permanent storage; 6) perhaps most importantly, supply / demand imbalance has led to NAND pricing up ~200% versus only ~10% increase for HDD pricing.
- NAND Substitution Risk: Given the extreme shortage in NAND, HDD substitution would be practically impossible today (NAND shortages are expected to drive significant unit declines in smartphones and PCs). About a year ago, NAND was 6x more expensive to acquire and 3.6x more expensive on a TCO basis (given lower operating costs). Based on projected Trendforce pricing, NAND will be 20x more expensive and 12x more expensive on a TCO basis by the end of 2026.
- HAMR Transition: This is a key area to watch but we feel confident in the transition because 1) easier to be fast follower and learn from STX missteps, 2) hyperscale partners, we have heard, do not want one supplier so sharing their STX learnings and workload data, 3) common chassis with ePMR makes qualification easier, 4) ePMR learnings directly apply to HAMR, 5) supply chain is more mature (glass disk and lubricant issues solved), and 6) 11 platter design (versus 10 for STX) means WDC will not push limits on density.

Summary Financials

Simple Summary						
	06/2025	06/2026	06/2027	06/2028	06/2029	06/2030
Exabytes	697	885	1,139	1,458	1,852	2,334
% growth		27%	29%	28%	27%	26%
$ / Exabyte	$13.66	$14.67	$17.01	$19.73	$20.12	$20.12
% growth		7%	16%	16%	2%	0%
Revenue	$9,520	$12,990	$19,377	$28,771	$37,270	$46,960
% growth		36%	49%	48%	30%	26%
COGS $ / Exabyte	$8.28	$7.50	$6.75	$6.21	$5.71	$5.26
% growth		-9%	-10%	-8%	-8%	-8%
Gross Profit	$3,749	$6,350	$11,688	$19,717	$26,691	$34,697
% margin	39%	49%	60%	69%	72%	74%
Non-GAAP Opex	$1,424	$1,569	$1,804	$2,075	$2,386	$2,744
% growth		10%	15%	15%	15%	15%
Adj EBIT	$2,325	$4,781	$9,884	$17,642	$24,305	$31,953
% margin	24%	37%	51%	61%	65%	68%
Adjusted EPS	$5.00	$10.19	$22.18	$41.49	$60.71	$85.92
Consensus EPS			$18.76	$29.40	$37.03	

Risk Factors:

1. Customer concentration (top 3 are 39%)
2. Recession or “digestion” significantly reduces AI capex
3. HAMR execution issues
4. Thailand manufacturing concentration (floods / geopolitics)
5. Tariffs: primarily Thailand but mitigated by STX / WDC manufactured in same country (duopoly should be able to pass on) and a USMCA workaround.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
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Catalyst

Strong compounded earnings growth with favorable capital allocation is the strongest catalyst. In addition:

- Beating conservative guidance
- Mid-term increases to consensus EPS (estimates are currently too low particularly on margins, exabytes and pricing)
- Continued positive AI datapoints
- Successful HAMR transition
- End of technical / leverage unwind in stock / sector

Messages

Subject Nice writeup
Entry 07/16/2026 04:15 PM
Member Thor25

Could somebody come in to capitalize Toshiba and make them more aggressive & competitive on the tech side? Also, at what level of price premium vs. HDD do you think NAND substitution becomes a real risk with the hyperscalers? This seems like a solid pair vs. DRAM / NAND because the latter path has to run through an insane supply glut triggered by Chinese (and other) capacity adds.

Subject Re: Nice writeup
Entry 07/16/2026 05:07 PM
Member gtwt

I actually disagree with Thor25's assessment. The natural state of the HDD technology is persistent deflation in $/TB. Aside from temporary sharp supply/demand dislocations, storage becomes cheaper every year as areal density improves. Gosh this brings up things I have been trying to forget, professionally!

Lasting divergence between price (rising) and cost (falling), obviously very lucrative for OEMs, is highly unusual.

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Sure, the industry has consolidated and checks today are positive. But being in a 3-player industry didn't prevent Micron from posting deeply negative gross margins a few years ago (people barely seem to remember). LTAs don't mean much in the semiconductor industry, as they have a long track record of being implicitly or explicitly broken when S/D changes (silicon wafers, MLCCs, foundry capacity, memory itself, auto semis).

But I'm not even arguing that the thesis is wrong. These numbers could perhaps play out. My point is that it relies on assumptions that are extremely demanding from an industry economics perspective and a historical track record. I'd want more evidence, like an industry supply/demand model with expected capacity additions and hyperscaler demand forecast.

And the stock is still up 10x over LTM, I'd be cautious calling anything like that undervalued or pointing to a "sharp 40% drawdown" from ATH as a dislocation.

Subject Re: Re: Nice writeup
Entry 07/16/2026 05:18 PM
Member Thor25

Definitely not arguing that the natural state of HDD pricing is to be inflationary, but with the umbrella of DRAM / NAND going crazy and no obvious aggressor and the ability to expand capacity incrementally vs. in massive long lead time fabs the price reset could stick for longer. Price = marginal cash cost clearly not applicable for the HDD guys for a long time

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Subject Re: Nice writeup
Entry 07/16/2026 08:35 PM
Member TripleQuaker

Thanks for the kind words. Somebody capitalizing Toshiba could be a risk but they are behind from a technology perspective and they actually charge more per TB (likely because they have higher cost / tb). Manufacturing these drives is difficult and expanding capacity is also difficult. One of the first questions we ask during our checks is around Toshiba and any new Chinese competition, and to date, we have not heard anything. It is also worth noting that Toshiba uses a slightly different technology than STX/WDC and relies more on third party suppliers. Both make ramping more difficult.

NAND would have to fall significantly in price. We believe the total cost of ownership will be 12x more expensive by the end of this year. If we say that hyperscalers would consider mass adopting at 2x higher total cost of ownership, and we assume HDD's increase pricing to $20/tb, NAND SSD would have to fall 82% in price. This would be 30% below pricing in Q225. The HDD market also ships more than 3x the exabytes of NAND, and NAND is already significantly undersupplied.

I agree on comparison to DRAM / NAND. A duopoly industry with no Chinese players is a much better industry structure to sustain a higher margin structure. As a pair, I think it works theoretically over long periods of time but because DRAM/NAND is more of a commodity their ability/willingness to capture price increases when supply / demand is tight is much more significant. So, I think it is a scary pair.

Subject Re: Re: Nice writeup
Entry 07/16/2026 08:56 PM

Member TripleQuaker

I suppose I disagree that a stock that is up 10x cannot be undervalued. And I think if we did not have that price history (nor the persistent unit declines as they were substituted out of notebooks, desktops, set top boxes, performance harddrives, back up drives, etc), we would actually see a duopoly industry with high margins, pricing power and most importantly AI driven secular growth. Some of the best businesses in the world operate in this type of industry structure.

The hard drive industry is quite different than the memory names or more commodity semi names. One of the fundamental problems with a fab is that supply cannot be reduced (thus supply / demand imbalance cannot be easily fixed). Hard drive supply can be adjusted.

Many third party industry projections are available from your favorite industry data sources or sellside. They show a shortage persisting. But taking a step back, if you believe in AI continuing to penetrate more of our lives (and particularly physical AI like robotics, self driving cars, etc), it is hard to imagine the demand for data storage not growing quickly (and two manufacturers control supply growth with firm purchase orders more than a year out).

On the $20/tb pricing assumption, we have heard and Morgan Stanley has published that the HDD manufacturers contract pricing goal is $25/tb in 2027 and $30/tb in 2028.

Subject Re: Re: Re: Nice writeup
Entry 07/17/2026 01:43 AM
Member Thor25

Not sure who downvoted, I think both your responses were great. HDD cost / TB going up 30 - 50% is a lot more stomachable and feels more sustainable than NAND going up 500%. It's a duopoly with smart players and like you said they can titrate capacity unlike the NAND / DRAM fab game.

This idea has to be looked at in context of other AI investments and there are plenty of potential pairs out there.

Subject Re: Re: Re: Nice writeup
Entry 07/17/2026 05:52 AM
Member liverpoolstocks

Thanks for the insights, I agree price action doesn't determine under/overvaluation but at nearly 15x REVENUES this does not seem cheap at all. In your model you use very optimistic (perhaps correctly so) assumptions and implicitly acknowledge they have to shoot the lights out to justify current valuation.

Is this more a momentum trade than a value investment?

Subject book value
Entry 07/17/2026 06:19 AM
Member ahnuld

In your out year, what is the effective ROE implicit in your model?

Thanks

Subject Re: Re: Re: Re: Nice writeup
Entry 07/17/2026 08:48 AM
Member TripleQuaker

My assumptions yield a price almost 3x the current valuation. My goal was to lay out a set of assumptions that I believe are credible but not overly conservative. These assumptions as they compound over a number of years yield an earnings power that is likely higher than most expect and are underpinned by strong demand for data storage and favorable industry structure. I believe you could be more optimistic on exabyte growth (could transition customers to higher TB/drive faster and demand is there), pricing (using $20/tb versus $25-$30/tb in checks), and cost per tb decreases (historical trend has been -14% annually, and HAMR transition should accelerate). I run a series of cases that are both more and less optimistic.

I would argue it is a value investment as but as a long-time member of VIC (through my prior firms) I was nervous about writing up given it has been connected with the momentum/AI basket.

Subject Re: book value
Entry 07/17/2026 08:56 AM
Member TripleQuaker

My thesis is predicated on the hard drive industry not being a commodity as this is a effectively a duopoly industry with high barriers to entry. ROE is currently 43%, which I view more as a reflection this is a good business than a business overearning.

Subject Re: Re: book value
Entry 07/17/2026 09:17 AM
Member Ray Palmer

This absolutely could work..... but saying this is a good business because trailing ROE is 43% right now is insane. ROE was negative as recently as 2023!

it's completely fine to say "demand has shifted structurally higher, and supply response will be muted because the industry is more disciplined now." but using peak ROEs to justify it is crazy

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Subject Re: Re: Re: book value
Entry 07/17/2026 09:29 AM
Member TripleQuaker

Ray, appreciate your strong opinion! I think if you read what we said, we certainly do not say that. I was responding to a question asking about book value / ROE. You might also find language that rhymes with your eloquent quote in the writeup.

Subject Re: Re: Re: book value
Entry 07/17/2026 09:30 AM
Member Thor25

That's true but WDC at that point included the much more capital intensive SNDK NAND business. They then spun it out. I agree being long anything with this chart and these types of multiples for HDD feels insane, but give the author credit for pitching it. It's hard to be a bear on data storage growth in the context of AI and the industry duopoly lends itself to high returns much more so than in memory.

Subject Re: Re: Re: book value
Entry 07/17/2026 10:12 AM
Member differentiatedfractal31415

the debate moved to throughcycle ROE..

Subject Margins
Entry 07/17/2026 10:36 AM
Member jgalt

I'm very skeptical that an industry that has operated with EBIT margins much lower than these (1/3? I don't have a good history of the industry in front of me) will sustain 68% EBIT margins as you project.

Maybe this is true over the next several years because of LTAs? But it likely won't be true forever?

What do you think happens to EBIT margins beyond your forecast period?

You cite the price umbrella of memory, etc., but DRAM is a pure commodity (pin-compatible, no switching costs, no software lock-in moat) and prices will come down. Same is true of simple NAND flash.

The memory card I bought for my high end camera exactly one year ago costs +180% today. This is insane and not normal in the world of electronics.

Put differently, electronics will keep deflating.

So, why is 68% EBIT margin in 2030 realistic?

If margins go back to 25% EBIT after that (or whatever is normal for the industry) won't the stock price eventually discount that as well?

What's the path?

Subject Re: Margins
Entry 07/17/2026 11:36 AM
Member TripleQuaker

This is a great question and a key debate. My view is that we do not return to historical margins as "demand has shifted structurally higher with AI and supply will be more disciplined". It is also worth noting historical margins were earned as the industry was taking out 80% of units over the last 15 years (from notebooks, desktops, set top boxes, external storage, performance hard drives, etc). What is left are high capacity hard drives sold to sophisticated customers optimizing for the cheapest storage per terabyte. In our work, we have not identified a new competitor or technology that is likely to be able to provide data storage at a lower price.

DRAM / NAND are different industry structures as I tried to highlight.

Our best guess at what happens post the published forecast period is exabytes continue to grow and pricing per exabyte falls in line with cost per exabyte declines. This still leads to attractive revenue and earnings growth that we believe justifies a 17.5x multiple.

Subject Re: Re: Margins
Entry 07/17/2026 12:58 PM
Member gtwt

I appreciate the responses and ongoing discussion, but this last point does not make sense to me. You are making the "this time is different" argument supported by third-party supply/demand models (always bullish in upcycles) and "structurally higher demand due to AI". Well, in one negative scenario, all it'd take is one or two large "sophisticated" AI customers double-ordering HDDs during/ahead of tightness (like customers often do; already have?) to create a lull in demand and trigger an inventory and then an ASP correction. And supply discipline in a downturn is rare.

Subject Re: Re: Re: Margins
Entry 07/17/2026 01:17 PM
Member Thor25

The pushback on that point is that with each inventory digestion cycle the price discounting by STX and WDC has been less in nearline and without the structural impetus to drive utilization to 100% like with NAND / DRAM they don't have any incentive to massively discount even in that scenario. HDDS look great right now relative to SSDs so I'm a believer these price increases will go through and stick for at least some period of time. Continue to see the big risk being terminal value if China massively overbuilds the industry.

I don't think many of us would debate there will be a downcycle (and then likely another upcycle)...but what happens in a downcycle on a relative basis to the different players is interesting to think about and it seems to me like WDC and STX are much better setup than MU / SNDK. NVDA also well positioned IMO.

Subject Re: Re: Re: Re: Margins
Entry 07/17/2026 01:24 PM
Member gtwt

Thanks Thor - and I concede btw you and others are much closer than I am to the industry these days - but this is exactly my (counter)point here: there will likely be a downcycle, while the forecasts in the write up are for smooth sailing with sequential OP margin expansion through mid-2030, against a stock that's gone vertical.

Subject Re: Re: Re: Re: Re: Margins
Entry 07/17/2026 01:38 PM
Member Thor25

Thanks for the debate gtwt. I agree w your instincts on where we are in the cycle (which is why I mentioned shorting the memory makers a few weeks ago vs. long NVDA) and 68% EBIT margins for WDC just feels so wrong. I know not everyone is an L/S investor here but to me at this point any AI idea has to be viewed on a relative basis to the macro trade and on that basis I feel this idea is very intriguing and the poster deserves to be admitted.

Subject Re: Re: Re: Re: book value
Entry 07/17/2026 02:37 PM
Member ahnuld

It makes sense though as a long term sanity check.

In the short and medium term, econ 101 never works. In the long run, yeah people chase abnormal returns and drive then down to normal returns.

You're already starting to see if specifically in memory with major capex announcements (only a 3 player industry!)

So the original writeup assumptions flies in the face of every fundamental theory I know to be true.

Subject Triple Quaker?
Entry 07/23/2026 03:41 PM
Member Thor25

Bumping this because I want you to be admitted....not sure when they cut off the voting or how it's looking presently. But while we are at it, is TripleQuaker referring to A) an extreme seismic event B) oats c) a really bad hangover d) the classic FPS e) those wonderful peace loving Quakers?

Subject Re: Triple Quaker?
Entry 07/24/2026 01:52 PM
Member TripleQuaker

Ha, I appreciate it! One more week of voting. Can I choose "f) all of the above"?

Subject STX print
Entry 07/29/2026 02:25 AM
Member Thor25

Great quarter from STX - curious your view on what if anything we hear differently from WDC. Added both STX and WDC to long book and they have been super useful to hedge out the day to day vol of being short Hynix Sandisk and Micron (and the drives are earning some relative alpha). Tomorrow maybe we get a dispersion day...

Subject Re: STX print
Entry 07/31/2026 09:54 AM
Member TripleQuaker

I agree, it was a really encouraging quarter for the thesis.

- We continued to see really strong exabyte growth - 35% in quarter (and above the ~25% guidance)
- Revenue per exabyte was up 10% yoy (an acceleration) and was up 6% qoq
- Cost per exabyte fell 16% yoy and 5% qoq
- Adjusted gross margins expanded 570bps qoq
- Guidance was also really strong and implies an acceleration in yoy pricing growth (and revenue) along with similar cost / exabyte declines. Gross margins are guided to again expand 460bps
- They have really strong visibility to future customer demand and started talking about KV cache (new to me as an HDD application) and physical AI as being large long-term drivers

As it relates to your question on WDC. There is belief they have historically been more conservative in guidance and commentary than STX (and now STX has set a high bar). However, on a numerical basis, if their numbers looks like STX they will significantly exceed guidance / consensus estimates.

- Looking at consensus, 6/30 WDC GM expectations are 51.9% or 1.4% sequential improvement - STX just expanded 5.7%. For 9/30, WDC consensus GM is 53.7% or 1.8% sequential expansion, STX just guided to 4.6% sequential expansion.

Subject Re: Re: STX print
Entry 07/31/2026 03:36 PM
Member Thor25

Yeah KV Cache is interesting. If you TCO model HDD v. SSD all of a sudden even at pricing in the $20s per TB it's better in warm workloads bc the delta has blown out so much that it covers the GPU idle penalty. That's my interpretation at least. NXPI maybe buying AMBA to deepen AV / robotics imaging = another sign the data storage component of video training for physical world AI could become next leg of the story (and fundamental driver) for HDD.

Subject STX better?
Entry 08/06/2026 02:48 PM
Member Thor25

Would love to hear your thoughts Quaker. The ultra SMR / HAMR ramp for WD seems slower than hoped for which is depressing their relative EB growth, which is probably fine as long as they execute on HAMR in H127 but otherwise STX could really benefit disproportionately it seems.

Subject Re: STX better?
Entry 08/06/2026 04:03 PM
Member jso1123

If you look at market share b/t the two as STX went into HAMR transition, WDC gained share temporarily (transitions bring two hits to volumes - customer qualifications which takes capacity allocations away at low margins, lower utilizations/yields as you switch over). So I think its likely STX will see outsized growth over the next 4-6 quarters as that temporarily lost share mean reverts. Also STX should see better COGS/TB trends as HAMR ramps which means gross margins will outperform WDC as well.

Subject Re: Re: STX better?
Entry 08/06/2026 04:40 PM
Member Thor25

thanks jso...how much work have you done on the ability to drive 60 / 100TB HAMR...if you believe these guys can achieve that they can really sit pat, not expand capacity and grow exabytes ahead of street models if demand upsides at the $25 - $30 / TB target price point

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Subject Re: Re: STX better?
Entry 08/06/2026 04:43 PM
Member TripleQuaker

I would certainly agree the STX report (and more importantly guidance) was better than WDC. This could continue for another quarter or two. That being said, WDC will also transition to HAMR (and checks are positive so far on qualification and company is saying calendar Q127) and also to their 40tb non-HAMR drive later this calendar year. Both of these transitions should speed up exabyte growth. At some theoretical future steady state, as I mentioned in write-up, there is an argument that WDC should be able to ship higher capacity / unit than STX (and theoretically lower cost/tb). In addition, nearline drive unit capacity is higher for WDC than STX.